

The Washington Post

Democracy Dies in Darkness

Asia & Pacific

Mongolian democracy has a familiar ailment, and it's all about money

June 26, 2018



While 30 percent of Mongolians live below the poverty line, in parts of the capital, businesses thrive, reshaping the city with new buildings. (Giulia Marchi/For The Washington Post)



By [Simon Denyer](#)

ULAANBAATAR — Every post had its price. About \$400,000 to become a cabinet minister, \$120,000 to be the director of a government agency, \$4,000 for a senior specialist's role within the bureaucracy. More than 8,000 jobs in Mongolia's government and state-owned enterprises were being offered by the Mongolian People's Party (MPP) if it won parliamentary elections, in return for the money the party needed to run its campaign.

From the capital, Ulaanbaatar, alone, party officials planned to raise 60 billion tugriks (\$25 million) in campaign financing from business elites and foreign investors, according to audio recordings released by whistleblower Ganbold Dorjzodov between 2016 and 2017.

What Mongolians call the "60 billion case" was one of the biggest political scandals to hit the country since it became a democracy in 1990, and it exposed the fundamental weakness at the heart of that democracy — arguably the fundamental weakness at the heart of many democracies around the world.

"Mongolians have realized that the source of corruption is campaign finance," said a leading independent economist, Jargalsaikhan Dambadarjaa, who runs the influential Jargal Defacto

website. "Those who give money through these political parties control all of Mongolia, control all the government."

With business controlling politics, voters feel alienated. There is a disillusionment with democracy that is familiar across the globe and that lies behind the rise of populist demagogues from Asia to the Americas.

Inspired by events in the Soviet Union and Eastern Europe, thousands of young Mongolians demonstrated in 1989 and 1990 against the country's authoritarian communist government, winning a peaceful transition to democracy that was initially greeted with tremendous enthusiasm and hope.

In 1993, turnout in the country's first free presidential election was nearly 93 percent. In 2017, that figure slipped to just over 68 percent, with nearly 19,000 people out of 1.4 million voters casting blank ballots to protest the quality of candidates on offer.

The winning candidate, Khaltmaa Battulga, was a business tycoon and former wrestler who cast himself as an outsider — a populist, anti-establishment figure. The man he defeated, Miyegombo Enkhbold of the MPP, was one of the politicians allegedly caught on the famous audio recordings.

In India, severe restrictions on how political parties can raise money have driven campaign finance underground and fostered a culture of corruption and kickbacks, experts say. In the United States, the system is more transparent, but studies show that the need to raise money to finance election campaigns means business elites have vastly more influence over policy than average citizens.

In Mongolia, a law requiring political parties to report on their finances is simply ignored. And once businesses fund politicians, they expect something in return: Tenders for government contracts and licenses to mine are often sold for bribes or given away to those who have already paid, experts say.

It is no coincidence that the proceeds from Mongolia's vast reserves of coal, copper and gold flow disproportionately to the elite, while nearly 30 percent of the country lives below the poverty line.

Luvsandendev Sumati, director of the independent Sant Maral polling organization, says Mongolians still demonstrate strong support for democratic ideals, such as that everyone should be equally treated by the law and have the right to express their opinions freely.

But they are less impressed with the performance of their elected representatives.

Nearly 34 percent of respondents in Sant Maral's latest poll said they believed that government policies mainly supported the rich, while a further 42 percent said policy was driven by "self-interested politicians" who lacked concern for society at large.

More than 6 in 10 voters had little or no influence on political decision-making, and 87 percent said political parties did not represent public opinion.

Cynicism also breeds short-termism. Voters kick out incumbents at almost every opportunity, and many politicians make the most of their limited time in power to fill their pockets and those of their supporters. Bureaucrats are replaced whenever power changes hands, so cronies rather than impartial experts fill many of the top jobs.

And money corrupts in other ways, too: Nearly three-quarters of the most popular media outlets were either founded or are now owned by current or former high-ranking state officers, according to a survey by Reporters Without Borders and the Press Institute of Mongolia.

In turn, instability and corruption have left many Mongolians yearning for a strong leader to look after their interests. While 2 in 3 people said a democratic system was good or rather good in Sant Maral's March poll, more than 3 out of 4 expressed approval for a "strong leader who does not have to bother with the parliament and elections."

The current president, Battulga, wants to see the law changed so that no one involved in the mining business, which dominates Mongolia's economy, is allowed to get into politics. His immediate predecessor wanted to introduce a law demanding more transparency in party finances.

But parliament is where the power lies in Mongolian politics, and it isn't interested in passing laws that would threaten the two main parties' cozy hold on power, experts say.

True, Mongolia's anti-graft agency arrested two former prime ministers and a former finance minister in April over accusations of kickbacks during negotiations over a major copper mine. But the suspicion remains that corruption charges tend to be brought only after politicians lose power, not before.

Dorjzodov, the whistleblower, was working as chief strategy officer for an MPP-supporting businessman when he recorded audio of the campaign finance meeting on his iPad.

The National Institute of Forensic Science examined the recording and initially declared that it was genuine, but after the MPP won 2016 parliamentary elections it changed its mind and decided it was "fabricated," Dorjzodov says.

MPP politicians in turn insisted that the audio had been "spliced together," but independent expert analysis conducted in the United States concluded that it had not been tampered with.

For the past two years, Dorjzodov has been threatened by politicians, harassed by police, interrogated and detained by intelligence agents, and denounced in the media. Even today, he can't find work.

"I felt the public should know what was being talked about behind the scenes," he said in an interview in a private location. "My goal was to open voters' eyes to what politicians are really like."

So, if he could relive the past, would he do it all over again?

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